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Ad

India to Launch First Carbon Trading Programme by October 2026

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Industrial smokestacks emitting fumes

Summary

- India to issue first carbon credits under compliance scheme October 2026.
- Steel and fertiliser sectors excluded from initial phase of trading.
- Scheme combines mandatory compliance targets with voluntary carbon offsets component.

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India is in the final stage of launching its first comprehensive carbon-trading programme to report on emissions generated by participating industries, reported *Business Standard.*

Verifier interviews are currently underway for the April 2025–March 2026 timeframe. However, neither the fertiliser industry nor steel, the most polluting, have found a place in the initial phase of operations. It was suggested that 800 units, which account for almost all of India's industrial emissions, be included.

Denying reports that the "Carbon Credit Trading Scheme" is delayed, Saurabh Diddi, Director, BEE, told *Business Standard* on the sidelines of "Mumbai Climate Week" that the body had issued emission targets for around 490 units, covering seven sectors, through two notifications, in October 2025 and January 2026.

"The first cycle of FY26 targets will end on March 31 and then we will give four months for verification and then three months for assessment and issuance. So practically we are going to issue credits in October (2026) and then we are expecting that November to January this trading will happen," Diddi said, adding "and every year this cycle will get repeated".

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A portal is expected to be launched on March 20 to register projects and participate in the scheme. The portal will have a feature for doing everything that is done through emails and BEE is working on getting the registry operational by March so that April onwards, everything is in place.



Power Ministry Seeks Comments On Draft Carbon Credit Trading Scheme

By PTI

Scheme Consists of Two Components

The scheme consists of two complementary components, a mandatory compliance component covering 800 units in nine sectors and a voluntary offset component. Carbon credits will be issued separately and traded separately. The targets are issued for three years under the compliance scheme.

This dual-track approach aligns with global carbon market designs, such as the EU Emissions Trading System and voluntary carbon markets, which separately account for compliance obligations and voluntary mitigation efforts to balance environmental integrity with broader participation.

According to the World Bank's 'State and Trends of Carbon Pricing 2025', numerous national programmes are promoting decarbonisation and bolstering price signals by combining mandatory caps with high-integrity, voluntary offsets. The report further indicated that businesses can fulfil their compliance requirements and promote wider mitigation by implementing this strategic integration in conjunction with a move toward nature-based removal projects.

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